

Aeroflex Industries Ltd — Concall Tracker

What 2.5 years of earnings calls say about the earning trigger & management consistency · Report date: 9 July 2026

Not investment advice. Do your own due diligence. All figures from company earnings-call transcripts (Nov 2023–May 2026) and Screener.in financials.

1. Snapshot

What the business does: Aeroflex makes **stainless-steel flexible hoses and assemblies** — the braided metal pipes and fittings that carry gas, chemicals, steam and fluids safely inside factories, refineries, ships, railways and, increasingly, **data centres**. Think of it as the "flexible plumbing" for heavy industry. It sells mostly to global customers (exports) and makes money by moving up from plain hoses into higher-value **fitted assemblies** that earn fatter margins.

MARKET CAP

₹5,369 cr

Total value the market puts on the company

FY26 REVENUE

≈₹443 cr

Total sales for the year, up ~17% on FY25

FY26 NET PROFIT

₹55 cr

What's left after all costs & tax, up ~26%

OPERATING MARGIN

~22–24%

Profit per ₹100 of sales before interest/tax — has risen steadily

DEBT

≈ Zero

Effectively debt-free; expansion funded from its own cash

STOCK P/E

97×

Price is ~97× yearly profit — very expensive, priced for fast growth

Read: a small but fast-growing, debt-free exporter with rising margins — but the share price already bakes in years of strong growth, so any stumble is punished hard.

2. Concall coverage

Read **11 earnings calls** covering **Q2 FY24 (Nov 2023) through Q4 FY26 (May 2026)** — about 2.5 years, essentially the company's entire life as a listed company (it listed in Aug 2023). This is a full, unbroken record.

Period	Call date	Read?	Period	Call date	Read?
Q2 FY24	Nov 2023	✓	Q3 FY25	Jan 2025	✓
Q3 FY24	Jan 2024	✓	Q4 / FY25	May 2025	✓
Q4 / FY24	May 2024	✓	Q1 FY26	Aug 2025	✓
Q1 FY25	Aug 2024	✓	Q2 FY26	Oct 2025	✓
Q2 FY25	Nov 2024	✓	Q3 FY26	Jan 2026	✓
			Q4 / FY26	May 2026	✓

★ Latest concall highlights — Q4 & FY26 (call held 6 May 2026)

- **Best quarter ever.** Q4 revenue ₹126.5 cr, **up 38%** year-on-year; profit ₹17.6 cr, up 57%. Full-year FY26 revenue ≈₹443 cr (up 17%) and profit ₹55.5 cr (up 26%) — strong, despite a weak first quarter. Read: the year finished with a sprint.
- **The tariff cloud lifted.** The US import tariff on their products fell from a punishing 50% back to ~10–15% around mid-Feb 2026. Management: "We don't have any issues with tariffs as I speak." Read: the single biggest worry of the past year is largely gone.
- **Data-centre cooling scaling fast.** Sold **617 "skid" cooling units for ₹21.2 cr in just the last 4 months** of FY26 (already 5% of yearly sales), and guided this to **20–22% of revenue in FY27**. Read: a brand-new business went from zero to meaningful in months.
- **Guidance raised.** FY27 total growth now guided at **~35%** (up from earlier "mid-to-high teens"), margin heading to **~23% then 25%**. Read: management is more bullish than at any earlier call.
- **First-ever dividend** (20%, ₹0.40/share) and MD Asad Daud's title expanded to **Managing Director & Chairman**. Read: a signal of balance-sheet comfort and settled control.

Business mix & capacity (as of Q4 FY26)

Domestic vs export: Exports ~69% / Domestic ~31% of FY26 sales. Read: still an exporter at heart, but India sales jumped ~40% this year and now make up nearly a third (up from ~15–18% two years ago) — the new data-centre skid business is 100% domestic so far.

Capacity use: Main hose plant ran at ~68–69% of capacity in H1 FY26 (lower on a shift to bigger, higher-value hoses), expanding from 17.5 to **20 million metres by ~Q2 FY27**. The new skid line is being scaled from 6,000 to **15,000 units within two quarters**, targeting 60–70% use by Mar 2027. Read: plenty of room to grow output before more money is needed — the constraint now is ramping the new cooling line, not the core plant.

3. Earning trigger thesis

The headline: Aeroflex's durable earning engine is a steady climb from selling plain hoses to selling **higher-margin fitted "assemblies"** — this lifted margins for two straight years and is the backbone of the story. On top of that, a **powerful new second engine** arrived: **flow-control "skids" for cooling AI data centres**, sold to a >\$50 bn US partner, which went from a first order to ~5% of sales within months and is guided to a fifth of revenue next year. The old engine is proven; the new one is early but scaling fast.

Trigger	What management said	Evidence so far	Horizon	Strength
Shift to value-added assemblies & margin ladder	Move assembly mix toward 60–70% of sales; grow margin ~100 bps/yr toward 25%.	Assembly mix rose ~30% → 52–54%; operating margin 20% (FY23) → ~24% (FY26). Clearly delivered.	Ongoing, 3–4 yrs	STRONG Concrete, measurable, already showing up in the numbers.
Data-centre liquid-cooling skids	5-yr tie-up with a >\$50 bn US firm; scale skids to 15,000 units/yr; 20–22% of FY27 sales.	617 skids / ₹21.2 cr in 4 months; capacity 2,000→6,000, heading to 15,000. Early but real.	FY27–FY29	MODERATE Huge potential & live orders, but very young and one-customer heavy.
Metal bellows (high-margin niche)	New ~28–30% margin product; ₹80–85 cr peak revenue.	Only ~₹8 cr in FY26, <20% capacity; admitted "behind schedule"; miniature-bellows plan cut back.	2–3 yrs	UNPROVEN Real product, but the slowest-moving promise so far.
Hyd-Air (backward integration into fittings)	Acquired for ₹17 cr; add fittings/railways; ₹30–45 cr revenue.	FY26 revenue ₹31.6 cr, ~60% utilisation. Delivered on plan.	Delivered	STRONG Bought, integrated, now contributing as promised.

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24 calls	~25% EBITDA growth & margin climb toward 25%; capacity to 16.5M metres by Dec 2024.	FY25 EBITDA +24%, margin rose; capacity hit 16.5M on schedule.	Delivered
FY24–25	Assembly mix to keep rising; automate welding to break the bottleneck.	Assembly hit ~49% "a year ahead"; robotic welding lines commissioned.	Delivered
Q4 FY24	Hyd-Air acquisition to add fittings + railways revenue.	Integrated; FY26 revenue ₹31.6 cr; won railway orders.	Delivered
FY25	Metal bellows to ramp to ₹80–85 cr; miniature bellows 240k units by Mar 2026.	Only ~₹8 cr; capex & capacity cut; openly "behind schedule."	Partly / slipped
Q1 FY26	After first revenue fall (–6%, tariff shock), called it a "blip"; kept >20% EBITDA growth guide.	Recovered hard — FY26 ended +17% revenue, Q4 +38%.	Delivered
FY25–26	₹400 cr QIP raise for an overseas acquisition.	Approved but not yet done — no acquisition finalised.	Too early
Q4 FY26	Skid cooling to reach 20–22% of FY27 sales; FY27 growth ~35%.	Just guided — track from FY27 onward.	Too early

Narrative drift: Remarkably steady. The core story — *trade up into assemblies, expand margins, stay debt-free* — has been repeated and delivered on every single call. Management adds new engines (Hyd-Air, bellows, and now data-centre cooling) **without abandoning the core**, and is unusually candid about misses: they flagged the assembly bottleneck, the Red Sea freight drag, the tariff hit, and the bellows delay openly rather than burying them. The one soft spot is **metal bellows**, which has run slow and been quietly scaled back. Tone moved from confident (FY24) → briefly defensive (Q1 FY26 tariff shock) → the most bullish of all calls (Q4 FY26), tracking reality rather than spin.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete driver that is already visible in the numbers: the up-trade into higher-margin assemblies has lifted operating margin from 20% to ~24% over three years, and it is reinforced by a fast-scaling, structurally-growing new vertical (AI data-centre cooling skids) with real orders and a marquee US partner. This is not a hoped-for story — it is showing up in revenue and margins today, with a credible runway ahead.

Management consistent? → YES

Across 11 straight calls the promises largely turned into results — capacity roadmap hit, margin ladder climbed, Hyd-Air delivered, and the one bad quarter (Q1 FY26) was called correctly as temporary and fully recovered. They are candid about shortfalls (metal bellows is genuinely behind, and the ₹400 cr overseas acquisition is still unfinished) rather than hiding them. That honesty, plus a steady non-drifting core narrative, earns a clear Yes — with metal-bellows execution and the still-pending acquisition the two things to keep watching.

Sources: Aeroflex Industries Ltd earnings-call transcripts Q2 FY24 (Nov 2023) – Q4 FY26 (May 2026), via Screener.in; Screener.in financial snapshot. Note: input named "Aeroflex Enterprises Ltd"; the single listed Aeroflex on Screener is **Aeroflex Industries Ltd** (NSE/BSE: AEROFLEX), used here. This document is not investment advice.